

When Everyone Can Design a Hotel, Judgment Becomes the Luxury

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ABSTRACT

AI has collapsed the cost of imagining a hotel to nearly zero: concept imagery that once required a visualization studio and a real budget is now produced in an evening by anyone with a laptop. The author, an architect who welcomes this collapse of professional gatekeeping, argues that the economics of hospitality development did not move with it: median construction costs exceed \$200,000 per room, nine of ten projects run over budget, and a rendering carries no information about which concepts survive contact with capital, operations, permits, and place. Drawing on verified industry data, the record of his own firm's estimating software (including the errors it was caught making), and the loss of a boutique hotel to forces no feasibility study priced, the essay makes the case that when options become abundant and stakes hold still, the scarce asset in hospitality is judgment: not as prediction, but as the discipline of structuring projects to survive what cannot be predicted.

Somewhere in Kraków tonight, a nineteen-year-old with a laptop is producing a competent concept for a boutique hotel. Site plan, mood, narrative, a dozen renderings of the kind that, ten years ago, required a visualization studio, weeks of work, and a real budget. He has never priced a kitchen ventilation shaft or waited eleven months for a change-of-use permit. It doesn't matter. The images are good. Some are better than what licensed firms were showing clients in 2015.

I want to be clear before I say anything else: this is good news. I come from a profession that spent a century protecting its methodology behind credentials and mystique, and I watched that priesthood price out exactly the people who needed design intelligence most: small towns, first-time owners, modest budgets. The collapse of that gatekeeping is not a tragedy.

But somewhere between that laptop and a hotel that opens, stays open, and pays its people, there is a wall. The wall did not get cheaper.

The flood is not hypothetical. In July the Royal Institute of British Architects reported that 74 percent of UK practices now use AI on most of their projects, up fifteen points in a single year. Image generators produce, by the most careful available estimate, tens of millions of pictures a day. In visualization studios, the most common use of AI is generating concept images and early design ideas. Hospitality is not watching from the sidelines: senior designers at major firms describe generating branded resort pitch imagery with Midjourney as ordinary workflow. One of them called the technology "a really fast, slightly clueless junior designer."

The same RIBA survey contains the detail that should worry every hotel owner: of the practices using AI on most projects, only 17 percent say their designs are better because of it. Three quarters report working faster. One in six reports working better. That gap between acceleration and improvement has a price, and in this industry the price is denominated in hundreds of thousands of dollars per room.

Start with the wall. The 2025 HVS development cost survey puts the median cost of building a hotel in the United States at \$219,000 per room: \$167,000 for limited service, over a million for luxury. Those numbers absorbed 8 percent construction inflation in 2022 and 6 percent more in 2023, and no image generator has ever refunded a contingency overrun. Bent Flyvbjerg, who built the world's largest database of project outcomes, states the iron law plainly: nine out of ten projects run over budget. In his sixteen-thousand-project dataset, 8.5 percent hit cost and schedule. One half of one percent also delivered the benefits they promised.

Concepts became free. Consequences did not.

I know how this failure works from the inside, because my own firm builds software that estimates hospitality projects, and the most instructive moment in its development was an error. Early on, our cost engine priced a two-hundred-square-meter restaurant renovation in Mexico City as if the building had to be erected from nothing, a figure several times too high, generated with total confidence. The mistake was not a bad multiplier. The software was pricing the wrong kind of project. A renovation is not a discount on new construction; it carries its own arithmetic of demolition, hidden conditions, and the upgrades a city demands the moment you touch an old building. We had to rebuild the engine around that distinction, and around a harder

rule: where information is missing, say so. A wrong number delivered confidently is worse than no number, in software and in people. No rendering has ever told an owner which kind of project they are actually buying, and that single distinction can move a budget by a factor of five.

The strongest case against this essay deserves its best form. The optimist's argument runs like this: wider search makes better buildings. A team that can consider two hundred directions before committing has better odds than a team that could afford to consider five, and the tools that make exploration nearly free are therefore an unqualified gain. There is real force in that. Wanyu He, an architect who left OMA to build design software, extends it further: automating the tedious layers of the profession could finally bring design intelligence to the small community projects no firm can afford to serve. I want that world too.

So concede the point fully, then finish the arithmetic. Two hundred options instead of five means the cost of generating options collapsed. The cost of choosing wrong did not fall at all. It is still \$219,000 a room, still nine-of-ten overruns, still a lease signed on a corridor that empties at six p.m. When options multiply and stakes hold still, everything comes to depend on the selector. Some critics already note that these tools mostly empower whoever owns them and prompts them best. Exactly. The leverage moved from the drawing to the judgment applied to the drawing.

Nowhere does this land harder than in boutique hospitality, because in this segment the concept is the business model. A boutique property lives or dies on the specificity of its idea, not the leverage of a flag. And the segment is growing against the current: boutique hotel revenue rose 4.2 percent in 2025 while traditional hotels declined, at rates roughly seventy dollars above the industry average.

The capital markets noticed. Liquidity for independent hotels rose 55 percent in the recent cycle while branded liquidity stayed essentially flat, and \$145 billion in hotel loans mature through 2026, much of that capital looking for a story worth refinancing. Picture the owner on the receiving end of this: a family office principal, a first-time developer with one good site, a couple converting a hacienda. They are about to see more beautiful, more convincing, more professionally rendered hotel ideas than any owner in the history of this industry, and the renderings will carry no information about which ideas survive.

It is worth saying what "survive" means, because it is not an investor abstraction. A hotel that fails operations fails people: the staff hired against a pro forma that never stabilized, the town that reorganized a street around an anchor that closed in year three, the guests who booked a photograph. The render is forgotten within weeks. The building, the payroll, and the block stay behind. Hospitality is culture you can walk into, and culture does not run on imagery. It runs on whether the kitchen was sized for the menu.

For owners, the practical consequence is a change in what to demand from anyone selling you a concept. My advice for 2026 is one question: *show me what your process refuses to tell me*. Ask for the range instead of the number, the assumptions instead of the promise, the risks the team wrote down before you asked. People with real judgment answer instantly, because refusing false certainty is most of their job, and it does not matter whether their tools are neural networks or napkins. People selling imagery cannot answer at all. That one question separates them faster than any portfolio review.

I should say plainly what judgment cannot do. Years ago I worked on a small hillside boutique hotel in Mexico: twenty-some villas set into the landscape, real feasibility work behind it, a concept I still believe was right. It opened. Then violence rose across its region, the country's headlines did the rest, and the guests stopped coming. Here is the detail that still instructs me: in those same years, tourist arrivals to Mexico as a whole actually grew. The country was fine. The region was not. Demand did not argue with our spreadsheet; it simply went somewhere else, and after a few years the hotel closed. No feasibility study we could have run would have priced that. Judgment is not prediction. It is structuring a project to survive what cannot be predicted: sizing the debt for bad years, staging the capital, choosing operations that can take a punch. Sometimes the punch is bigger than the structure. Anyone who tells you otherwise is selling a different kind of rendering.

I learned to make buildings before machines learned to imagine them. What my generation has turned out to inherit is not drawing skill; the machines took that, and mostly deserved it. It is the scar tissue: the priced ventilation shafts, the permits that died in committee, the regions that changed their minds. The kid in Kraków deserves every tool he has, and better ones. What he does not have yet, what no one has at nineteen and no model has at any age, is the judgment to know which of his hundred beautiful hotels is the one that should exist.

Everyone can design a hotel now. Deciding which one should exist is the luxury.

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